

CBC's moving papers raise Plaintiffs' failure to provide their discovery responses before CBC's motion was due and filed, and they explain the relevance of the discovery responses to the good faith determination and allocation of the settlement proceeds as they pertain to Plaintiffs' damage claims in light of the claims alleged in the Complaint and the settlement. (CBC MPA ISO Mtn. p. 3, ll. 21-25; Ginn Decl. ¶ 8.) (See *also* CBC MPA ISO Mtn. pp. 2-3, p. 5, ll. 15-22, p. 6, ll. 1-16, p. 6, l. 25 - p. 7, l. 8; Compl. ¶ 12, p. 3, ll. 24-27 and ¶ 16, l. 4, ll. 18-21 ["errors, defects and nonconforming work existed related to: exterior/interior foundation, subfloor support, attic/roof structural . . . misaligned doors . . ."].)

The evidence filed with the CBC reply was not available when CBC filed the motion contesting the Application, based on the filing deadline under Code of Civil Procedure section 877.6(a)(2) and the extended discovery response date requested by Plaintiffs. Though the general rule is that new evidence should not be presented for the first time in a reply, such evidence can be considered when good cause is shown and when the other party is given an opportunity to address the new evidence. (See *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-1538.)

The Court finds good cause to consider the reply evidence under the circumstances, including the fact CBC raised the significance of the discovery responses in its moving papers and that the evidence was not available to CBC when it filed its motion in part because Plaintiffs asked for a delay in providing the responses. The Court, however, will give Applicants an opportunity to address the reply evidence.

Supplemental Briefing

Applicants may file a supplemental opposition addressed to the evidence filed with CBC's reply. Applicants' supplemental opposition shall be filed and served by January 30, 2026. CBC may file a supplemental reply to Applicants' supplemental opposition by February 6, 2026.

The parties' supplemental briefing should also address and clarify Applicants' position that the Willow Creek settlement resolves construction defects related to "framing" although the Willow Creek subcontract encompassed both framing and foundation work, and the implications for the good faith settlement determination. (See Appl. p. 3, ¶ 3, ll. 1-4, and p. 5, ll. 6-8; Opp. to Mtn. p. 3, l. 1-2 citing Kelly Decl. Exh. 2; Opp. to Mtn. p. 3, ll. 11-14, p. 5, ll. 1-3, ll. 5-6, and ll. 26-27, and p. 6, ll. 2-4.).

The continued hearing on the CBC motion and the Application shall be set for February 13, 2026.

9. 9:00 AM CASE NUMBER: C25-01756
CASE NAME: JASMINE MORRIS-HUGHES VS. ALAMEDA CONTRA COSTA TRANSIT DISTRICT
HEARING ON PETITION IN RE: LEAVE TO PRESENT LATE GOVERNMENTAL CLAIMS
FILED BY: MORRIS-HUGHES, JASMINE
TENTATIVE RULING:

For the reasons stated in the moving papers, Plaintiff's unopposed Petition for Leave to Present Late Governmental Claims is granted. Plaintiff JASMINE MORRIS-HUGHES is granted relief from the provisions of California Government Code § 945. The claim Plaintiff served on TriDelta Transit on July 11, 2025 is deemed to be timely.

10. 9:00 AM CASE NUMBER: MSC20-02090
CASE NAME: NICHOLAS M DUNHAM VS UNITED LENDING PARTNERS
*HEARING ON MOTION IN RE: ORDER TO LIFT AN ARBITRATION STAY
FILED BY: DUNHAM, NICHOLAS MICHAEL
TENTATIVE RULING:

Before the Court is Plaintiff Nicholas Michael Dunham ("Plaintiff" or "Dunham")'s motion to lift an arbitration stay to conduct discovery into Plaintiff's financial hardship. The Motion is opposed by Defendant California Lending Partners, Inc. ("CLP") and Defendant Trinidad Guzman ("Guzman") (collectively, "Defendants").

For the following reasons, the motion is **denied**.

Brief Factual and Procedural Background

This case arises out of a real estate transaction and subsequent renovation. In connection with his purchase of the subject property, Plaintiff entered into a Real Estate Purchase Agreement that included a mediation/arbitration clause. Plaintiff and Defendants stipulated to mediate and arbitrate Plaintiff's claims. Defendants then filed an ex parte application for an order compelling arbitration and stay of litigation. Plaintiff did not oppose the motion. On July 13, 2021 the Court granted the motion and compelled arbitration pursuant to CCP § 1281.2. The action was stayed pursuant to CCP § 1281.4.

Plaintiff previously moved the court for an order "to remove this case from Arbitration Stipulation." That motion was denied.

Legal Standard

When a lawsuit is stayed pending a decision through binding arbitration, "the action at law sits in the twilight zone of abatement with the trial court retaining merely a vestigial jurisdiction over matters submitted to arbitration." (*Optimal Markets, Inc. v. Salant* (2013) 221 Cal.App.4th 912 [quoting *Brock v. Kaiser Foundation Hospitals* (1992) 10 Cal.App.4th 1790, 1796].) Absent an agreement to withdraw the controversy from arbitration, no other judicial act is authorized upon stay pending arbitration by the trial court, except to appoint arbitrators if the method selected by the parties fails, grant a provisional remedy, and confirm, correct or vacate the arbitration award. (*Aronow v. Superior Court* (2022) 76 Cal.App.5th 865, 873.)

It has also been held that the court's "vestigial jurisdiction" includes: (1) appointing arbitrators if the method selected by the parties fails; (2) granting provisional remedies if the arbitration award would otherwise be rendered ineffectual; (3) determining whether plaintiff is financially unable to pay their share of arbitration costs, and, if so, to order defendant to pay plaintiff's share of costs or waive the right to arbitration; (4) confirming, correcting, or vacating the award; (5) setting a date for completion of the arbitration if it is not included in the parties' agreement; and (6) removing an arbitrator who "fails to act and his or her successor has not been appointed...." (See, *Titan/Value Equities Group, Inc. v. Superior Court* (1994) 29 Cal.App.4th 482, 486; *Aronow, supra*, at pp. 885-886; *Bosworth v. Whitmore* (2006) 135 Cal.App.4th 536, 539, 550.) "Otherwise, however, the arbitrator takes over. The court has no continuing jurisdiction." (Cal. Prac. Guide, Alternative Dispute Resolution (Rutter Group, 2022 December Update), § 5:346.2.)

The preservation of the arbitrator's jurisdiction through a stay of litigation "is essential to the enforceability of an arbitration agreement Given the purpose of the statute, the most reasonable interpretation of the stay provision is that it grants a trial court discretion to lift a stay prior to the completion of arbitration only under circumstances in which lifting the stay would not frustrate the arbitrator's jurisdiction." (*MKJA, Inc. v. 123 Fit Franchising, LLC* (2011) 191 Cal.App.4th 643, 660.)

Analysis

The Court denied Plaintiff's prior motion to "remove this case from Arbitration Stipulation" on the grounds that the Court was without jurisdiction as the requested relief (to vacate the June 2021 Stipulation for mediation/arbitration entirely and order the parties back to Court) fundamentally invaded the province of the arbitrator and the arbitration stay. Now, Plaintiff brings a new motion "for an order to lift an arbitration stay to conduct discovery into [] plaintiff's financial hardship."

The Court did note in its prior order that under *Aronow v. Superior Court*, a trial court has jurisdiction to address a request to lift an arbitration stay to conduct discovery into a plaintiff's financial hardship, and "if he demonstrates financial inability to pay the anticipated arbitration costs, to require [defendant] either to pay [his] share of the arbitrator's fee or to waive the right to arbitration." (*Aronow*, *supra*, at p. 886.)

However, while Plaintiff does attest that he is "in a precarious financial position" (Dunham Decl. at ¶ 3), he does not declare that he is financially indigent, or that he will be unable to pursue his claims if they proceed in arbitration based on financial barriers. Likewise, Plaintiff has not filed a fee waiver in the instant litigation to support such an inference. (*Aronow*, *supra*, 76 Cal.App.5th at 884 ["Where a party seeking relief from paying the arbitrator's fee is one of the persons enumerated in Government Code section 68632's list of persons 'eligible to proceed without paying court fees and costs,' the decision would be ministerial."].) While *in forma pauperis* status is not required or dispositive, here Plaintiff has failed to overcome his evidentiary burden of demonstrating he is unable to pay for his share of the costs of arbitration.

The motion is **denied**.

11. 9:00 AM CASE NUMBER: MSC21-00316

CASE NAME: CANDELL VS EBMUD

HEARING ON SUMMARY MOTION JUDGMENT

FILED BY: EAST BAY MUNICIPAL UTILITY DISTRICT

TENTATIVE RULING:

Before the Court is a motion for summary judgment filed by defendant, East Bay Municipal Utility District ("EBMUD"), on the grounds that plaintiffs' single cause of action for inverse condemnation has no merit because they are unable to establish the "public use" element of their cause of action. (Code Civ. Proc. § 437c(o)(1).) The motion is **granted**, as discussed below.

I. Background

Plaintiffs own real property at 1085 Martino Road, Lafayette, California. (Separate Statement of Undisputed Material Facts, hereinafter "SSUMF," Fact No. 1, and plaintiffs' response.)

On January 19, 1948, EBMUD recorded an easement over plaintiffs' property for a ten-foot right-of-way, for which it paid Natale Martino \$10. (SSUMF, Fact Nos. 2-3, and plaintiffs' response.)